

Understanding Your Credit Score: A Plain-Language Guide

Sample educational document • For CreditCoach RAG corpus • General education only, not financial advice

1. Payment History (~35% of most scoring models)

Whether you've paid past credit accounts on time is typically the single largest factor. A single payment more than 30 days late can cause a noticeable score drop and can stay on a credit report for up to seven years.

2. Credit Utilization (~30%)

This is the percentage of your available revolving credit you're currently using (balance divided by limit). Utilization above roughly 30% on any single card, or across all cards combined, is commonly associated with score drops, even if you pay in full every month.

A sudden utilization spike (for example, a large purchase reported before the statement closes) is one of the most common causes of a short-term score dip.

3. Length of Credit History (~15%)

This factors in the age of your oldest account, your newest account, and the average age of all accounts. Closing your oldest card can shorten your average history length and may lower your score.

4. New Credit / Hard Inquiries (~10%)

Applying for new credit generates a 'hard inquiry,' which can cause a small, temporary score dip (typically a few points) and stays on your report for about two years, though its scoring impact fades sooner.

5. Credit Mix (~10%)

Having a mix of account types (credit cards, installment loans such as auto or student loans) can modestly help a score, but this is a minor factor compared to payment history and utilization.

6. High-Risk 'Quick Fix' Products to Be Aware Of

Payday loans and cash-advance products often carry annual percentage rates far higher than standard credit products and do not typically help build a credit score, since many payday lenders don't report to the major credit bureaus at all. Missing a payment can instead result in collections activity that damages your score.

Any company that guarantees it can raise your score by a specific number of points, or asks for payment before doing any work, is a red flag under general consumer-protection guidance. Legitimate credit counseling is typically available at low or no cost through nonprofit organizations.

7. Score Impact Reference Table

The table below summarizes typical score impact, how long an event stays on a credit report, and roughly how long its scoring effect tends to persist. Actual impact varies by scoring model and individual credit history.

Event	Typical Score Impact	Time on Credit Report	Scoring Effect Fades In
Payment 30+ days late	-60 to -110 points	Up to 7 years	~2 years
Hard inquiry (new credit application)	-2 to -10 points	~2 years	~12 months
Utilization spike above 30%	-10 to -40 points	Until next reporting cycle	1 reporting cycle after paydown
Collections account	-50 to -100 points	Up to 7 years	~2 years
Closing oldest open account	-5 to -20 points	N/A (history length effect)	Gradual, as new accounts age
Bankruptcy	-130 to -240 points	7 to 10 years	~2 to 3 years